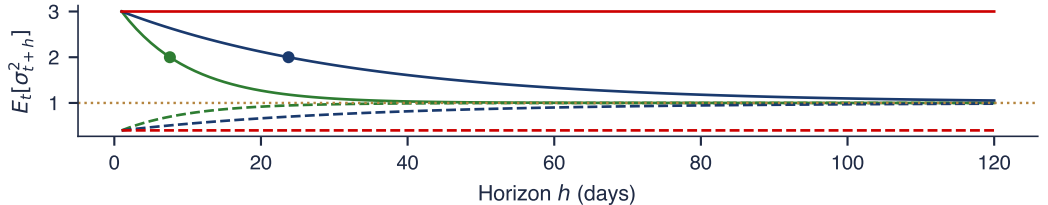


Start $\sigma_{t+1}^2 = 3$ (solid) or 0.4 (dashed); dots: half of the excess gone



$\alpha + \beta = 0.9$ $\alpha + \beta = 0.97$ $\alpha + \beta = 1$ (IGARCH) long-run variance $\bar{\sigma}^2 = 1$